

scientists in a wide variety of disciplines and domains. We are building a war chest to do that eventually. We started the foundation with \$50 million, and there is about \$100 million now.

So what is your foundation doing now?

As a foundation, we still have to give away a specified percentage of money every year.

Where does the money go to?

So far the money has been given to schools and local charities.

So the main project of the foundation is something that you would focus on in the post-QIM portion of your life.

That's the general concept, although there are interesting scenarios in which the predictive modeling project could operate in parallel with QIM.

When you first started managing money under Blue Ridge, for the three months in your inception year and the subsequent two full years, you were actually down slightly on balance. Then in the first six months of the following year, you were up over 80 percent. That is such a stark contrast in performance that it seems that something significant must have changed in your trading approach during those early years. Was there some major change to your methodology during this period, and if so what was it?

I started out using market-specific models. I ended up realizing that these models were far more vulnerable to breaking down in actual trading because they were more prone to being overfitted to the past data. In 1993, I started to figure out that the more data I used to train the models, the better the performance. I found that using the same models across multiple markets provided a far more robust approach. So the big change that occurred during this period was moving from separate models for each market to common models applied across all markets. The second change that occurred was increased diversification. I started out trading only two markets and then for some time traded only three markets. But as assets under management increased, and I realized it was best to use the same models across all markets, I added substantially more markets